

The Psychological Basis of Mental Accounting and Its Effect on Household Savings Behaviour in India

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ABSTRACT

Mental accounting or the way in which individuals, in effect, create a number of separate “buckets” of money, which are treated in different ways depending on their source, intended use or account, is one of the most influential concepts developed in the field of behavioral economics.

Mental accounting was formalized by Richard Thaler in the 1980s and has since been the subject of a number of studies conducted primarily in the West. Given the idiosyncratic nature of savings in India, however, and in particular the high rate of gross domestic savings, the predominance of physical assets in household savings portfolios, the joint family structure and resultant intra-household financial roles and the rapid digitization of financial systems now taking place in the country, an investigation into the application of mental accounting to the savings behavior of households in India is timely.

In this paper, the key features of mental accounting are outlined and existing evidence regarding its influence on the savings decisions of households around the world is reviewed, This is

followed by an examination of available evidence concerning the savings behavior of Indian households.

The paper also draws upon the Reserve Bank of India's Annual Report for 2024-25 as well as the Handbook of Statistics on the Indian Economy for 2024-25. Overall, the evidence presented in this paper indicates that the net household financial savings rate in India declined sharply from a peak of 11.5% of GNDI in financial year 2020-21 to 5.1% in financial year 2023-24 even as the gross financial savings rate as a proportion of GNDI rose from a low of 8.6% in financial year 2020-21 to 11.2% in financial year 2023-24. Mental accounting is shown to offer a superior explanation of the savings behavior of households in India than would a simple life-cycle model of consumer behavior. Implications for financial literacy, for designers of financial products delivered through fintech and for a range of behavioral "nudges" which may be used to influence household savings decisions are also considered in the paper.

1. INTRODUCTION

Households do not treat all money the same way. Decades of empirical data for a wide variety of countries has failed to support classical economic models such as the life-cycle model of Modigliani and Brumberg (1954), and the permanent income model of Friedman (1957), which treat all sources of

funds as fungible (individual units of an asset or commodity are mutually interchangeable and indistinguishable from each other) and so are treated the same in the consumer's mental accounting.

Money earned from a salary, as a bonus to celebrate a festival, or from a lottery prize, is

certainly not treated as the same in consumption and savings. Money for rent of a house, for education, for emergencies, and the like is ‘kept in separate accounts’ by all households, whether these ‘accounts’ are physical (such as different boxes or safe deposit boxes) or just in the household’s mind.

Even when their interest bearing, high charges for late payment credit card debt is more than offset by the low interest earning of their bank accounts, they continue to carry the debt on their credit cards and to leave their funds in their bank accounts. This compartmentalisation of money within the household is the basis of what has come to be known as the mental accounting of money within a household.

Mental accounting refers to the set of cognitive operations which are carried out by an individual or household when organizing, evaluating or tracking financial activities and money within that individual

or household. As noted by Thaler (1985, 1999) mental accounting is a basic aspect of human behavior with regard to money and it is not something that needs to be corrected in an individual or in a household, as it is a basic heuristic that serves many purposes within the life of an individual or a household, including providing self-control in the absence of complete willpower on the part of the individual, simplifying the many financial decisions that an individual or a household faces and also a means by which certain funds, such as a child’s education corpus, a daughter’s wedding fund or a household’s retirement nest egg can be protected from being eroded by the many financial temptations that are presented to an individual on a daily basis.

With one of the highest gross domestic savings rates of major economies (30.3 per cent of GNDI in 2023–24) a substantial portion of this saving is held in physical form, particularly in gold and real estate.

Financial savings by the household sector in India have recently gone into decline in net terms even as their gross financial savings have increased.

This recent divergence could be due in part to the rapid increase in financial liabilities such as unsecured personal loans and credit card debt, that reflect mental accounting failures, for example, of households borrowing against their future income account while simultaneously guarding their savings account against erosion. Understanding the nature of savings in India has serious implications for economic activity at large.

For decades, the household sector in India has served as the primary source of investable funds in the country, far exceeding the investment made by the corporate sector and, at times, even exceeding that of the government. The savings by the household sector are used to

finance the investments of the other two sectors of the economy.

Thus, the decline in net financial savings by the household sector that is observed in Section 4 below has serious implications for the ability of the corporate sector to invest as well as for the ability of the country to sustain its current account deficit. Moreover, it has serious implications for the depth of the domestic capital markets in the country. Thus, understanding why Indians save as they do, and more importantly, why they seem to under save from their own long term goals even as their incomes are increasing, is a question that has serious implications for the macro economy. It is also worth being explicit about why a purely rational, frictionless model of household behaviour is inadequate to this task.

If households behaved as the life-cycle and permanent-income hypotheses assume, the composition of savings (cash versus deposits versus equities versus gold) would be

determined solely by risk-adjusted returns, liquidity needs, and tax treatment; the source of income (salary versus bonus versus gift) would have no bearing on the propensity to save it; and households would never simultaneously hold low-yielding savings deposits and high-cost revolving debt, since the latter could always be reduced by drawing down the former at a net welfare gain. Yet all three of these "anomalies" are pervasive and well documented in Indian household finance data, as the sections that follow demonstrate. Mental accounting is the most parsimonious and best-evidenced behavioural explanation for this gap between theory and observed behaviour, which is precisely why it has become a load-bearing concept in household finance research over the past three decades.

This paper has three objectives. First, it lays out the psychological and theoretical basis of mental accounting, tracing its roots in prospect theory and behavioural life-cycle

theory. Second, it reviews the empirical literature -- both international and India-specific -- that has measured and validated mental accounting as a construct influencing financial decisions. Third, it examines how mental accounting interacts with distinctly Indian socio-economic and cultural features -- joint family systems, gold as a savings vehicle, informal savings instruments such as chit funds, gendered "secret" savings practices, and the rapid expansion of digital payments and investment apps -- to shape aggregate household savings behaviour, supported by current RBI data and accompanying visual analysis.

1.1 Scope and Approach

This paper is a narrative literature review and secondary-data synthesis rather than a primary empirical study. It draws on three categories of source material: foundational theoretical papers in behavioural economics (Kahneman & Tversky, 1979; Thaler, 1985, 1999; Shefrin & Thaler, 1988); peer-

reviewed empirical studies that test mental accounting constructs specifically among Indian household samples (notably Mahapatra & Mishra, 2020, and the related Psychological Studies article); and current macroeconomic and household-finance data published by the Reserve Bank of India, supplemented by rating-agency and financial-data-provider commentary on that data (ICRA, 2025; RBI, 2025). The approach is deliberately interdisciplinary, combining psychological theory with macroeconomic and household-finance evidence, on the view that mental accounting is best understood as a micro-level cognitive phenomenon with macro-level aggregate consequences, and that neither level of analysis is sufficient on its own to explain the patterns observed in Indian household savings data.

2. THEORETICAL FRAMEWORK: THE PSYCHOLOGICAL BASIS OF MENTAL ACCOUNTING

2.1 From Expected Utility to Prospect Theory

The psychological foundations of mental accounting trace back to Kahneman and Tversky's (1979) prospect theory, which demonstrated that individuals evaluate financial outcomes not in terms of final wealth states, as expected utility theory assumes, but as gains and losses relative to a reference point. Critically, prospect theory's value function is concave for gains and convex for losses, and steeper for losses than for equivalent gains -- the well-documented phenomenon of loss aversion. This reference-dependence is the cognitive seed from which mental accounting grows: if value is assessed relative to reference points rather than in absolute terms, then it becomes psychologically natural -- indeed inevitable -- for individuals to construct

multiple reference points (multiple "accounts") for different pools of money rather than evaluating wealth holistically.

2.2 Thaler's Formal Theory of Mental Accounting

Thaler (1985) formalised this insight in the context of consumer choice, and later (1999) extended it into a comprehensive framework comprising three component processes. The first is how outcomes are perceived and experienced, and how decisions are made and subsequently evaluated (the coding, categorisation, and evaluation of accounts). The second is the assignment of activities to specific accounts -- both in terms of timing (when the cost or benefit is recognised) and category (what budget the activity is charged against). The third is the frequency with which accounts are balanced or "closed," which Thaler likened to choosing accounting periods for a business -- a household might balance its "entertainment

account" daily, its "household budget" monthly, and its "wealth account" not at all.

A key construct within this framework is the distinction between income, current assets, and future assets (or wealth), each of which is psychologically treated as a separate account with a different marginal propensity to be spent. Money in a "current income" account is mentally available for everyday consumption; money in a "current assets" account (such as a savings account) is somewhat more protected; money in a "future income" account (such as a pension or provident fund) is the most psychologically insulated from current spending. This tripartite division explains why Indian households, for instance, often resist withdrawing from Provident Fund balances even when liquidity-constrained, while simultaneously running up credit card balances against future salary income.

2.3 The Behavioural Life-Cycle Hypothesis

The Behavioral Life-Cycle (BLC) Hypothesis, developed by Shefrin and Thaler (1988) in their work on mental accounting and savings, builds on the standard life-cycle model of household savings but goes on to argue that it fails to explain the real world of savings because it ignores the self-control problems of households. In developing the BLC model of household behavior, the planners (the long-term welfare maximizers) within households are pitted against the doers (the short-term, myopic individuals) who comprise the households. The mental accounting that households use in making financial decisions functions as the primary tool of the planners to curb the behavior of the doers. Thus, any policy or financial product that makes money that a household has saved “feel” as if it were in a different account (e.g., via the use of after-tax dollars

from their income account, using funds that they have already saved in their current assets account, or in some other manner) should increase the household’s savings behavior even if such an accounting scheme does not change the household’s true budget constraint. The great success of default-enrolment into retirement programs at raising the rate of retirement savings by households, for example, as well as the success of a host of goal-based savings programs that are now available via the Internet as mental accounting-based savings programs, can be traced to this insight.

2.4 Cognitive Mechanisms: Framing, Categorisation, and Decoupling

One way in which our brains process money is through the way that we categorize our money coming in, as well as the way in which we categorize our expenditures. Often, individuals create a mental budget for a number of different categories (i.e. for

rent, for groceries, for festival expenses, etc.). Once an individual has allocated funds to a particular category, the funds within that category are treated as if they are in a “sealed envelope” that cannot be drawn upon for purposes of spending money in another category, even if the other category has funds available. In this way, the way in which an individual’s brain processes money is often restricted by an individual’s mental budget. The way people label money affects how they spend it too. For example, a tax refund is often viewed as a “windfall” which is more likely to be spent than the same amount of money that has been earned by the individual and returned to them. In India, for example, festival bonuses, farm income and remittances received from family members living abroad are often viewed differently from regular salary. The way we pay for things can have an impact on our spending and saving habits. The act of paying for something, or payment, can be

‘decoupled’ from the act of purchasing something, or consumption. For instance, paying with cash is generally considered more painful than paying with a credit card. With auto pay, or ‘buy now, pay later’ services, the pain of paying is removed altogether, and as a result, people may end up spending more than they should. With the rise of digital payments in India, made easy through services such as UPI, it is worth considering the impact these changes could have on the way people spend and save. And while making payments easier may be beneficial in many ways, it is also important to consider the potential negative impact on finances, and to monitor spending.

Finally it is up to us to ensure that we use our money wisely. We need to be extremely conscious and very vigilant about how we are spending our hard earned money. It is very important to monitor all your expenditure, to identify any sort of tendency or tendency of over expenditure in your life.

In the long run it is going to have a very big impact on your life. By being extremely careful and very cautious and being extremely mindful and extremely aware of how you are spending your money, you would be able to achieve your financial goals. You would be able to have a very secure financial future for yourself and your family. It is up to us to make best use of the money we have. By being more aware of how we are spending our money and its impact on our lives, we can make better financial decisions to help us achieve our goals and have a stable financial future.

3. LITERATURE REVIEW

3.1 International Evidence

The empirical support for mental accounting comes from a wide variety of studies, including laboratory experiments, surveys of individual behavior, and large administrative

databases. Thaler (1999) collected a large number of examples showing that people split their debt on their credit cards from their savings in their various accounts. This behavior gives rise to what he terms the “simultaneous borrowing and saving” puzzle: why do households with outstanding debt on their credit cards also have money in their savings accounts? Heath and Soll (1996) showed in a series of experiments that people maintain mental accounts which correspond to their self-imposed budgets for particular categories of expenditure. Once a mental account is seen to be “spent” then all future expenditure within that category is reduced in order to try to return the account to “balance”. Thus mental accounting behaves as a real time accounting system rather than as a subsequent rationalization of past behavior. Karlsson, Gärling and Selart (unpublished) extend the BLC hypothesis of Shefrin and Thaler to an experimental study in which the framing of savings instruments

affects the strength of the self-control problems that are raised by their use in mental accounting and thus the extent to which mental accounting is utilized. Finally, there is a large body of evidence, starting with the pioneering work of Xiao and Olson (1993), which shows that households that employ mental accounting (in the form of mental budgeting) have higher savings rates than those who do not so account.

3.2 India-Specific Evidence

The Indian literature on mental accounting, though smaller, has grown meaningfully over the past five years and largely corroborates the international findings while surfacing context-specific patterns. Mahapatra and Mishra's (2020) study, published in *Cogent Economics & Finance*, surveyed 452 Indian households using a structured questionnaire and applied Partial Least Squares Structural Equation Modelling (PLS-SEM) to validate mental accounting as a second-order latent

construct. Their analysis found that the cognitive tendency to create groups and label financial resources had a measurable and statistically significant effect on households' financial decisions, and that the intention to control expenditure and increase savings was itself a driver of mental account formation -- a finding consistent with Statman's (1999) observation that mental accounting is particularly beneficial to individuals who recognise their own imperfect self-control and use mental accounts as a corrective device. A related study by the same research group, published in *Psychological Studies* (Mahapatra, Raveendran, & De), examined the role of mental accounting specifically in personal financial planning among Indian households, finding that mental accounting significantly affected financial planning behaviour and helped households manage and react appropriately to financial uncertainty -- a particularly relevant finding

given the limited social safety net available to most Indian households relative to OECD counterparts, which raises the stakes of effective private precautionary saving.

Complementary macro-level analysis published in a ScienceDirect study on the determinants of private and household saving in India situates mental accounting within a broader set of structural drivers, including per capita real income, banking access, inflation, and corporate saving behaviour. That study's characterisation of the "mental account effect" as marking a transition from a more communal, "procedural" approach to saving toward a more individualistic, "substantive" approach to long-term financial planning is a useful bridge between psychological micro-foundations and India's macroeconomic savings trajectory, particularly as financial inclusion (via the Jan Dhan Yojana and similar programmes) has brought tens of millions of previously unbanked households

into formal mental-accounting-compatible products such as savings accounts and recurring deposits for the first time. A 2025 study examining spending behaviour through a mental accounting lens further found that mental accounting significantly affects household financial planning by helping households allocate funds for current versus future necessities, thereby reducing the likelihood of financial distress during income or expenditure shocks -- a pattern of obvious relevance to a country where a large share of household income remains informal, seasonal (particularly in agriculture), or subject to sudden health-related expenditure shocks given limited insurance penetration.

3.3 Demographic and Behavioural Variation

The strength and form of mental accounting documented in the studies above are unlikely to be uniform across India's enormously heterogeneous population, and

the available evidence though sparse points to systematic variation along at least three dimensions. By gender, several of the India-specific studies note that women, particularly within joint or nuclear family structures where the husband is the primary earner, are disproportionately likely to maintain informal, undisclosed mental accounts, small cash reserves, jewellery, or chit fund contributions kept partly or fully outside the household's "official" budget.

This pattern, sometimes discussed in the household-finance literature under the broader umbrella of intra-household bargaining and financial autonomy, can be read as a particularly clear illustration of mental accounting serving a self-protective function: a mental (and often physical) account that is psychologically and sometimes literally separated from a spouse's awareness functions as insurance against both economic shocks and the loss of bargaining power within the household.

By age and life stage, younger, digitally native savers appear more likely to use app-based, explicitly labelled savings goals (a phenomenon discussed further in Section 5.4), while older savers particularly those who came of financial age before the 1991 liberalisation and the subsequent expansion of mutual funds and digital banking continue to rely more heavily on physical mental accounts such as gold and post office instruments, a generational difference that has direct implications for how financial product design should differ across age cohorts.

By income and formality of employment, salaried, organised-sector households benefit from statutorily enforced mental accounts (Provident Fund deductions, employer-linked insurance) that are largely unavailable to the roughly nine in ten Indian workers employed in the informal sector, who must instead rely on self-constructed and often less robust mental accounts a

structural asymmetry that plausibly contributes to the persistently lower and more volatile savings rates observed among informal-sector and agricultural households relative to their organised-sector counterparts, even after controlling for income level.

Taken together, the Indian literature suggests three things. First, mental accounting is empirically present and measurable among Indian households across income groups, not merely a theoretical import from Western behavioural economics. Second, mental accounting appears to function adaptively in the Indian context as a self-control device that supports rather than undermines saving, in contrast to some Western findings where mental accounting facilitates overspending in narrowly defined "guilt-free" categories. Third, the literature remains concentrated on salaried, urban, and relatively financially literate populations, leaving rural, informal-

sector, and low-income household behaviour comparatively under-researched a gap this paper returns to in its discussion of limitations.

4. MENTAL ACCOUNTING AND HOUSEHOLD SAVINGS IN INDIA: EMPIRICAL PATTERNS

4.1 The Aggregate Savings Picture

India's gross domestic savings rate has historically been amongst the highest of any major economy, supported in large part by the household sector, which functions as the principal net supplier of savings to the rest of the economy -- funding both government deficits and corporate capital expenditure. According to the RBI's Annual Report for 2024-25, gross domestic savings as a share of GNDI held steady at 30.3 per cent in 2023-24, while household gross financial savings rose to 11.2 per cent of GNDI, up

from 10.7 per cent the previous year. Yet net household financial savings -- gross financial savings minus financial liabilities -- told a more troubling story, having fallen sharply from the pandemic-era peak before stabilising at roughly 5 per cent of GNDI in recent years (RBI, 2025; ICRA, 2025).

Figure 1 plots this trajectory.

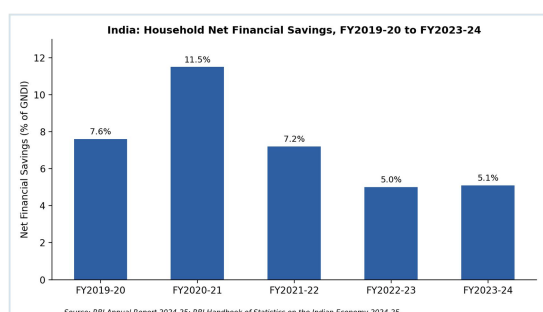


Figure 1. India: Net household financial savings as a percentage of GNDI, FY2019-20 to FY2023-24. Source: RBI Annual Report (2025); RBI Handbook of Statistics on the Indian Economy (2024-25).

Two psychologically interesting patterns are visible in this series. The first is the sharp pandemic-era spike, when net financial savings rose to an estimated 11.5 per cent of GNDI in FY2020-21 as lockdowns

suppressed discretionary consumption opportunities and converted what would normally sit in a flexible "discretionary spending" mental account into involuntary additions to "savings" and "current asset" accounts. This is consistent with mental accounting theory's prediction that savings behaviour responds not only to income and prices but to the availability of categories into which money can be spent; remove the category, and the funds default into savings almost mechanically. The second pattern is the subsequent decline as consumption normalised and financial liabilities -- credit card debt, personal loans, and consumer durable financing -- expanded rapidly (growing 77.5 per cent in FY2023 before moderating to 17.7 per cent growth in FY2024, per ICRA's analysis of RBI data). This liability growth is itself a mental-accounting phenomenon: households appear willing to draw down a "future income" account via debt instruments while

protecting an emotionally significant "savings" or "asset" account from depletion, exactly the behavioural pattern the BLC hypothesis predicts (Shefrin & Thaler, 1988).

4.2 Composition of Household Financial Savings

The instruments through which Indian households hold financial savings further illustrate mental accounting in practice. Figure 2 presents an illustrative breakdown of the composition of household gross financial savings based on RBI's Handbook of Statistics on the Indian Economy (2024-25).

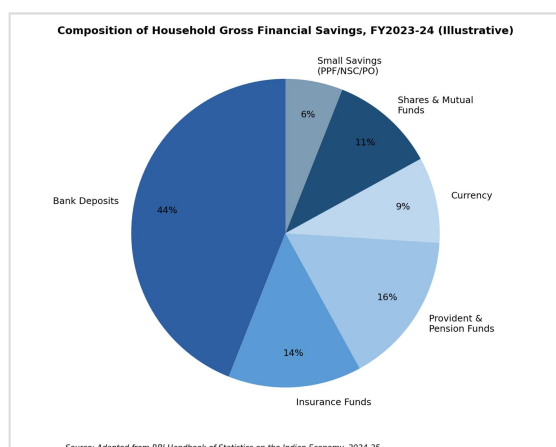


Figure 2. Illustrative composition of household gross financial savings, FY2023-24. Source: Adapted from RBI Handbook of Statistics on the Indian Economy (2024-25).

First, bank deposits, the transactable 'current asset' account and the default into which residual income will end up until another savings objective is due to be filled, continue to account for a large proportion of the savings by the Indian middle class. Then there are the insurance, provident and pension fund balances together which, as 'locked' accounts, account for a large proportion of savings in the middle class in India.

Indeed, a large proportion of the savings in the form of insurance accounts will have been automatically debited as premiums and so no active decisions would have been taken by the households concerned. Furthermore, all organized sector wage and salaried employees have all of their

contributions to their provident funds as statutorily deducted from their salaries as and when they are due. These, therefore, are classic examples of savings that have been arranged on the part of the households concerned by the application of behaviorally inspired default rules and, as recommended by the behavioral economists, by the relevant choice architecture (Shefrin & Thaler, 1988; Thaler & Benartzi, 2004 in the international context of the 401(k) plan).

Savings in market linked products such as equities and mutual funds grew marginally as a proportion of total financial savings post the pandemic. Although the increase in retail participation of stocks through SIPs has been substantial, it has not translated into enhanced portion of savings allocated to 'growth' mental accounts. The role of mental accounting in the Indian context continues to be that of self control and security. Gold and physical assets are a special case and are accounted for outside of

financial savings. Their exclusion from financial savings obscures the unique characteristic of these assets that are treated as highly liquid and very safe for expenditure on life cycle and special occasions. This characteristic, and the role of physical assets as a mental account, is discussed at length in the next section.

4.3 Liabilities as the Other Side of the Mental Accounting Ledger

A full account of mental accounting's effect on Indian household savings cannot ignore the liabilities side of the household balance sheet. RBI data indicate that personal loans - spanning housing, vehicle, and education finance -- crossed roughly ₹59.5 lakh crore outstanding in FY2023-24, with housing loans alone exceeding ₹30 lakh crore, while credit card outstanding balances have approximately doubled over five years. Gold loans, in particular, surged roughly twofold within two years, reflecting households' willingness to monetise an asset held in one

mental account (the "ceremonial/security" gold account) to fund liquidity needs in another (the "emergency cash" account) rather than liquidating more fungible financial assets -- itself a demonstration of how rigid mental account boundaries can produce decisions that look suboptimal from a unified-wealth perspective but are entirely explicable once the psychological partitioning of assets is taken into account.

4.4 Outlook and the Discretionary-Versus-Precautionary Framing

Looking ahead, the State Bank of India's group chief economic adviser projected, as reported in the RBI's 2024-25 Annual Report commentary, that net financial savings could rise to roughly ₹22 trillion, or 6.5 per cent of GNDI, in FY2024-25, supported by moderating inflation and a generally favourable growth outlook. Whether this projected improvement materialises, and whether it represents a durable strengthening of household mental

accounting discipline or a temporary cyclical effect, is itself an interesting test of the framework developed in this paper. The behavioural life-cycle model would predict that a sustained improvement is more likely if it is accompanied by structural changes to how savings are labelled and accessed for instance, continued growth in auto-debited SIP contributions and employer-linked pension enrolment rather than merely a cyclical reduction in liability growth, since the latter does not by itself strengthen the underlying mental accounts that protect savings from future consumption pressure.

A useful heuristic embedded in the literature reviewed in Section 3 is the distinction between discretionary mental accounts, which are flexible, frequently "closed" and reopened, and most vulnerable to erosion by framing effects and decoupled payment instruments, and precautionary or future-asset accounts, which are rarely touched precisely because they are walled off by

strong social, contractual, or psychological barriers. India's savings trajectory over the next several years will likely depend on whether new financial products strengthen the latter category or merely relabel the former.

5. SOCIO-CULTURAL DIMENSIONS OF MENTAL ACCOUNTING IN INDIA

While the psychological mechanisms underlying mental accounting are universal, the specific mental accounts that Indian households construct, and the social institutions that reinforce them, are shaped by distinctly Indian cultural and economic features.

5.1 Gold as a Mental Account

Gold is perhaps the only asset that is managed by households in India for four different reasons, for investment, for insurance, for weddings and other

ceremonies and as a liquid account for emergencies. Here gold is locked into a mental account structure that is almost sacred and hence never sold- it is only pawned. The account structure here is so deeply ingrained in the psyche of the Indian that even decades of financial inclusion efforts have not been able to change the fact that a large part of household wealth is locked into physical gold that does not yield. In contrast to equities, which have generated much better risk adjusted returns over most multi year time periods, the share of gold in household wealth has only increased. It is this account structure that financial inclusion efforts as well as products such as the Sovereign Gold Bond (SGB) are trying to work with rather than against. The SGB has some psychological advantages as it is labeled as gold but has a lot better portfolio characteristics than physical gold.

5.2 Joint Family Structures and Layered Financial Roles

Even as the joint family system in India has largely declined, it continues to influence the way a household makes financial decisions. Within a household, various family members maintain their own mental accounts, often layered or even overlapping. These could include a household head maintaining a general fund, a wife maintaining her discretionary or ‘secret’ savings, however small, (kept outside of the formal household budget) be it in cash or in the form of jewelry. Her ‘quasi-stridhan’ fund, for example, could be in addition to her contribution to the household’s general fund. Other mental accounts are in the form of pooled accounts to pay for certain shared obligations such as a family business or the maintenance of an ancestral property. As is noted in household finance literature, such intra-household segmentation of mental accounts can be a source of both resilience

and friction. It enables the household to have multiple independent financial buffers against shocks but at the same time, lead to various coordination failures between the family members, because their mental accounts could have very different risk profiles or time frames.

5.3 Festival, Life-Cycle, and Ceremonial Accounts

A significant portion of savings that households in India keep is earmarked for life cycle events – weddings, religious events, festivals like Diwali and children’s education among others. Tools such as recurring deposits, chit funds and even informal rotating savings and credit groups are very popular in this country because these external mechanisms create a mental account for future expenses. This is the same function that BLC in Shefrin and Thaler’s model of mental accounting serves by maintaining future assets in the form of cash or near cash. In India, this is achieved by the

social enforcement mechanism surrounding these financial tools rather than the tool itself. Interestingly, even as banking has spread like wildfire since the Pradhan Mantri Jan Dhan Yojana launched in 2014, these tools continue to maintain their appeal.

5.4 Digitisation and the Risk of Mental Account Erosion

The rapid growth of UPI-based payments, "buy now, pay later" products, and one-tap digital lending in India represents the most significant recent disruption to traditional mental accounting structures. As noted in Section 2.4, payment decoupling weakens the psychological friction that previously reinforced category budgets; a UPI payment for a discretionary purchase carries less of the visceral "pain of paying" than counting out physical cash, and several fintech lending products are explicitly designed to blur the boundary between a household's "current income" account and a "future income" account by offering instant credit

against expected future earnings. This has plausible explanatory power for the liability growth documented in Section 4.3 and represents a genuinely new variable in India's mental accounting landscape relative to the literature reviewed in Section 3, most of which predates the post-2016 surge in digital payments adoption following demonetisation and the subsequent UPI rollout.

5.5 Informal Savings Groups and Rotating Credit

Beyond chit funds proper, India hosts a wide array of informal rotating savings and credit associations known variously as *bisi*, *committee*, or *kuri* in different regions through which groups of households, often women, contribute a fixed sum periodically into a pool that is disbursed in rotation or by auction to members. These instruments persist alongside, rather than being displaced by, formal banking penetration, and behavioural research on rotating savings

groups elsewhere in the developing world (a literature this paper draws on by analogy, since India-specific behavioural studies of these instruments remain scarce) consistently finds that their appeal lies less in superior financial terms -- often the implicit interest rates are unfavourable relative to formal savings products -- and more in their function as an externally enforced, socially monitored mental account that is extremely difficult to raid for discretionary spending without incurring social as well as financial cost. This is mental accounting institutionalised at the community level: the "account" exists not merely in an individual's mind but in a shared social ledger enforced by peer expectation, which is arguably a more robust commitment device than any purely individual mental account could be, since it adds reputational stakes to the psychological ones Thaler's framework describes.

5.6 The "Two-Pocket" Problem in Practice

There is a pattern that runs through all of these cultural practices. They present the "two-pocket problem". Even fully banked households behave as if they have two financial systems: the formal system for receipt of salary, for paying of bills, for digital transactions, and the informal system of cash and/or of gold for practices of ceremony, for intra household transfers and for building up of emergency funds. Again this is not a problem that can be solved without reference to mental accounting. The two systems are not identical and serve different ends. Formal financial practices are private; they are carried out within four walls; and are subject to scrutiny by tax collectors, by lenders and by other family members. In contrast, practices of informal financial systems are also private in the sense that they are not subject to scrutiny by external bodies. They also carry a sense of

social legitimacy that formal financial practices do not. A gold gift is seen to carry far greater meaning than a transfer of cash by bank transfer.

6. POLICY AND PRACTICAL IMPLICATIONS

The evidence reviewed above suggests several practical levers, consistent with the broader behavioural economics literature on "nudging" savings behaviour (Thaler & Sunstein, 2008), that are particularly well suited to the Indian context.

First, default-based and auto-escalation savings mechanisms -- such as employer-linked auto-enrolment into the National Pension System, or fintech app features that automatically route a fixed percentage of every incoming UPI credit into a labelled "savings" sub-account -- exploit the same psychological mechanism that makes

Provident Fund balances so resilient to withdrawal: removing the decision point removes the opportunity for the "doer" self to override the "planner" self's saving intention.

Second, explicit goal-labelling within digital banking and investment apps (for example, naming a recurring deposit "Riya's College Fund" rather than "RD Account 4471") is a low-cost intervention with strong theoretical grounding in Thaler's framing research; several Indian fintech platforms have already begun experimenting with named, purpose-specific savings pots, and the literature reviewed here would predict measurable savings improvements from wider adoption of this feature, particularly among first-time formal savers brought into the banking system through financial inclusion programmes.

Third, financial literacy interventions -- including the kind of structured, skills-based instruction that organisations such as Peak

Potentia provide to students -- could usefully incorporate mental accounting literacy explicitly: teaching students not merely "save more" as an abstract injunction but the specific mechanics of constructing mental accounts that function as effective commitment devices (automatic transfers, named sub-goals, and visible progress tracking), since an understanding of why mental accounting works is itself protective against its less helpful manifestations, such as treating windfall income as "found money" to be spent freely, or running up revolving credit card debt while a low-yield savings account sits untouched.

Fourth, regulators and product designers should attend to the risk that decoupled digital payment instruments may be eroding the self-control benefits that mental accounting has historically provided to Indian households, particularly younger and newly banked users with less developed independent financial discipline; disclosure

design, spending-category dashboards, and friction-introducing confirmation steps for high-risk credit products (a deliberate re-coupling of payment and consumption) represent plausible regulatory responses grounded directly in the psychological mechanisms discussed in Section 2.4.

Fifth, policy could more deliberately leverage the gold mental account rather than attempting to compete against it. Given the evidence in Section 5.1 that gold functions as a psychologically privileged, near-inviolable account, instruments such as Sovereign Gold Bonds and Gold ETFs that retain the "gold" label and the associated cultural meaning while delivering superior liquidity, storage-cost, and (in the case of bonds) interest characteristics are likely to face less psychological resistance than products that ask households to abandon the gold mental account altogether in favour of an unfamiliar equity or mutual fund account.

Sixth, the demographic variation documented in Section 3.3 implies that a single, undifferentiated financial literacy curriculum is unlikely to be optimal. Programmes aimed at women managing informal household savings, young digitally native savers, and informal-sector workers without access to statutory savings deductions each require different framing: the first group benefits from products that formalise and protect existing informal accounts without requiring full disclosure within the household; the second group responds well to app-based goal labelling and gamified progress tracking; and the third group needs lower-friction, smaller-denomination recurring savings products that substitute for the payroll deductions available only to organised-sector workers.

7. LIMITATIONS AND DIRECTIONS FOR FUTURE RESEARCH

This paper has several limitations that suggest productive directions for future research. First, the India-specific empirical literature on mental accounting remains relatively small and concentrated on urban, salaried, and relatively financially literate respondents (e.g., Mahapatra & Mishra's 452-respondent sample); rural, informal-sector, and low-income household behaviour -- which together represent the majority of the Indian population -- remains comparatively under-studied, despite plausible reasons to expect different mental accounting patterns in contexts where income is seasonal, informal, and subject to greater volatility. Second, much of the macro-level savings data discussed in Section 4 is necessarily aggregate and cannot directly attribute changes in savings rates to mental accounting specifically, as opposed to other coincident drivers such as

interest rate cycles, inflation, or credit market liberalisation; the ScienceDirect macro study's framing of a "mental account effect" is itself a structural interpretation of aggregate data rather than a direct behavioural measurement. Third, the rapid pace of digital payments adoption in India means that much of the existing literature, including the foundational Indian studies cited in Section 3.2, predates or only partially captures the most recent shifts in payment behaviour, and a clear research gap exists in directly measuring how UPI, "buy now, pay later," and app-based micro-investment products are reshaping mental account boundaries in real time. Future research employing transaction-level data (for instance, from UPI payment apps or digital lending platforms, with appropriate privacy safeguards) combined with survey-based measurement of mental accounting constructs would substantially strengthen the evidence base beyond the cross-sectional,

self-report methodologies that dominate the current literature.

Finally, this paper is itself a secondary synthesis rather than a primary empirical study, and its India-specific quantitative claims rely on figures reported in RBI publications and rating-agency commentary on those publications rather than on original data collection or statistical testing; readers seeking precise, audited figures for any individual fiscal year should consult the RBI's Annual Report and Handbook of Statistics directly, as figures of this kind are periodically revised in subsequent RBI releases as more complete administrative data becomes available.

8. CONCLUSION

Mental accounting offers a more psychologically realistic, and empirically better supported, account of Indian

household savings behaviour than purely rational, unified-wealth models of saving. Rooted in prospect theory's insight that value is assessed relative to reference points rather than in absolute terms, and formalised through Thaler's account-categorisation framework and Shefrin and Thaler's Behavioural Life-Cycle Hypothesis, mental accounting explains patterns in Indian household finance that classical models struggle with: the simultaneous holding of high-interest debt and low-yield savings, the continuing dominance of gold and physical assets in household wealth despite their inferior financial returns, the resilience of statutory and auto-debited savings instruments relative to discretionary ones, and the sharp divergence between gross and net household financial savings observed in recent RBI data. India-specific empirical work, though still limited in scope, broadly confirms that mental accounting operates as a measurable psychological construct among

Indian households and functions predominantly as an adaptive self-control mechanism rather than a source of spending excess, distinguishing the Indian evidence somewhat from parts of the Western literature. As India's financial system continues to digitise rapidly, the central open question for both researchers and policymakers is whether new payment and credit technologies will reinforce the self-control benefits that traditional mental accounting structures have long provided to Indian households, or whether the decoupling of payment from consumption that these technologies enable will erode them -- a question this paper's evidence cannot resolve definitively but identifies as the most pressing avenue for future behavioural and household-finance research in the Indian context.

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